

PART II

Item 5. Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

Market Information

Our common stock is traded on the NASDAQ Global Select Market under the symbol “NFLX”.

Holders

As of December 31, 2023, there were approximately 2,728 stockholders of record of our common stock, although there is a significantly larger number of beneficial owners of our common stock.

Dividend Policy

We have never declared or paid any cash dividends on our capital stock, and we do not currently anticipate paying any cash dividends in the foreseeable future.

Company Purchases of Equity Securities

Stock repurchases during the three months ended December 31, 2023 were as follows:

Period	Total Number of Shares Purchased (1)	Average Price Paid per Share (2)	Total Number of Shares Purchased as Part of Publicly Announced Programs (1)	Approximate Dollar Value of Shares that May Yet Be Purchased Under the Program (1) (in thousands)
October 1 - 31, 2023	287,360	\$ 404.62	287,360	\$ 10,738,584
November 1 - 30, 2023	2,708,477	\$ 447.03	2,708,477	\$ 9,527,821
December 1 - 31, 2023	2,481,771	\$ 472.63	2,481,771	\$ 8,354,857
Total	<u>5,477,608</u>		<u>5,477,608</u>	

(1) In March 2021, the Company’s Board of Directors authorized the repurchase of up to \$5 billion of its common stock, with no expiration date, and in September 2023, the Board of Directors increased the share repurchase authorization by an additional \$10 billion, also with no expiration date. For further information regarding stock repurchase activity, see Note 9 *Stockholders’ Equity* to the consolidated financial statements in this Annual Report.

(2) Average price paid per share includes costs associated with the repurchases.

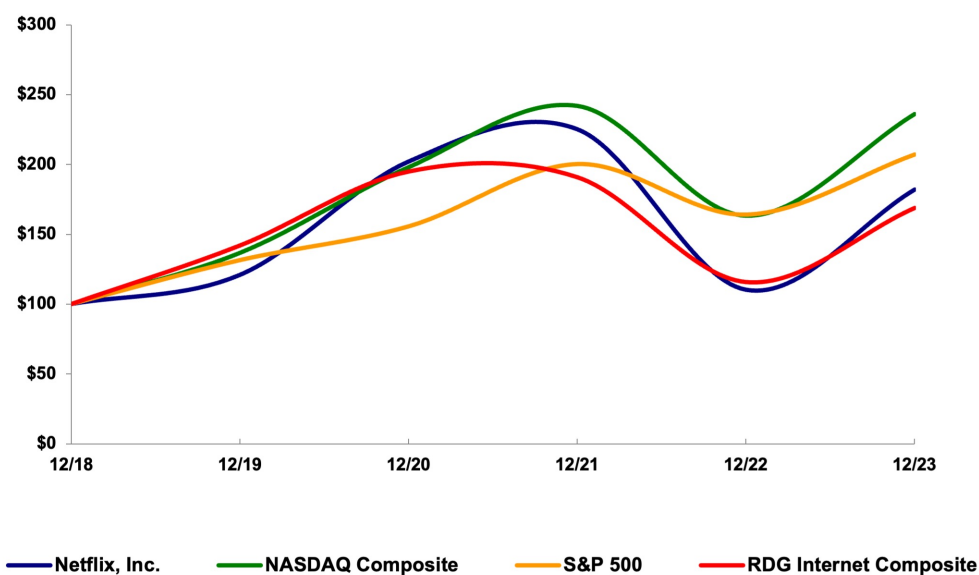
Stock Performance Graph

Notwithstanding any statement to the contrary in any of our previous or future filings with the Securities and Exchange Commission, the following information relating to the price performance of our common stock shall not be deemed “filed” with the Commission or “soliciting material” under the Exchange Act and shall not be incorporated by reference into any such filings.

The following graph compares, for the five year period ended December 31, 2023, the total cumulative stockholder return on the Company’s common stock with the total cumulative return of the NASDAQ Composite Index, the S&P 500 Index and the RDG Internet Composite Index. Measurement points are the last trading day of each of the Company’s fiscal years ended December 31, 2018, December 31, 2019, December 31, 2020, December 31, 2021, December 31, 2022 and December 31, 2023. Total cumulative stockholder return assumes \$100 invested at the beginning of the period in the Company’s common stock, the stocks represented in the NASDAQ Composite Index, the stocks represented in the S&P 500 Index and the stocks represented in the RDG Internet Composite Index, respectively, and reinvestment of any dividends. Historical stock price performance should not be relied upon as an indication of future stock price performance.

COMPARISON OF 5 YEAR CUMULATIVE TOTAL RETURN*

Among Netflix, Inc., the NASDAQ Composite Index,
the S&P 500 Index and the RDG Internet Composite Index



*\$100 invested on 12/31/18 in stock or index, including reinvestment of dividends.
Fiscal year ending December 31.

Copyright© 2024 Standard & Poor's, a division of S&P Global. All rights reserved.

Item 6. [Reserved]

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

This section of this Form 10-K generally discusses 2023 and 2022 items and year-to-year comparisons between 2023 and 2022. Discussions of 2021 items and year-to-year comparisons between 2022 and 2021 that are not included in this Form 10-K can be found in "Management's Discussion and Analysis of Financial Condition and Results of Operations" in Part II, Item 7 of the Company's Annual Report on Form 10-K for the fiscal year ended December 31, 2022.

Results of Operations

The following represents our consolidated performance highlights:

	As of/Year Ended December 31,			Change
	2023	2022	2021	2023 vs. 2022
(in thousands, except revenue per membership and percentages)				
Financial Results:				
Streaming revenues	\$ 33,640,458	\$ 31,469,852	\$ 29,515,496	7 %
DVD revenues (1)	82,839	145,698	182,348	(43)%
Total revenues	\$ 33,723,297	\$ 31,615,550	\$ 29,697,844	7 %
Operating income	\$ 6,954,003	\$ 5,632,831	\$ 6,194,509	23 %
Operating margin	21 %	18 %	21 %	
Global Streaming Memberships:				
Paid net membership additions	29,529	8,903	18,181	232 %
Paid memberships at end of period	260,276	230,747	221,844	13 %
Average paying memberships	240,889	222,924	210,784	8 %
Average monthly revenue per paying membership	\$ 11.64	\$ 11.76	\$ 11.67	(1)%

(1) In April 2023, we announced our plans to discontinue our DVD-by-mail service, and we ceased providing our mailing services to customers on September 29, 2023. The discontinuance of our DVD business had an immaterial impact on our operations and financial results.

Consolidated revenues for the year ended December 31, 2023 increased 7% as compared to the year ended December 31, 2022. Operating margin for the year ended December 31, 2023 increased three percentage points, primarily due to revenues growing at a faster rate as compared to the growth in cost of revenues and marketing and decreased technology and development expenses, partially offset by higher growth in general and administrative expenses as compared to the growth in revenues.

Streaming Revenues

We primarily derive revenues from monthly membership fees for services related to streaming content to our members. We offer a variety of streaming membership plans, the price of which varies by country and the features of the plan. As of December 31, 2023, pricing on our paid plans ranged from the U.S. dollar equivalent of \$1 to \$28 per month, and pricing on our extra member sub accounts ranged from the U.S. dollar equivalent of \$2 to \$8 per month. We expect that from time to time the prices of our membership plans in each country may change and we may test other plan and price variations.

We also earn revenue from advertisements presented on our streaming service, consumer products and various other sources. Revenues earned from sources other than monthly membership fees were not material for the years ended December 31, 2023, 2022, and 2021.

	Year Ended December 31,			Change
	2023	2022	2021	2023 vs. 2022
(in thousands, except percentages)				
Streaming revenues	\$ 33,640,458	\$ 31,469,852	\$ 29,515,496	\$ 2,170,606 7 %

Streaming revenues for the year ended December 31, 2023 increased 7% as compared to the year ended December 31, 2022, primarily due to the 8% growth in average paying memberships, partially offset by a 1% decrease in average monthly revenue per paying membership. The decrease in average monthly revenue per paying membership was primarily due to changes in plan mix, higher membership growth in regions with lower average monthly revenue per paying membership, partially offset by limited price increases. Additionally, streaming revenues for the year ended December 31, 2023 were further impacted by unfavorable fluctuations in foreign exchange rates.

The following tables summarize streaming revenue and other streaming membership information by region for the years ended December 31, 2023, 2022 and 2021.

United States and Canada (UCAN)

	As of/Year Ended December 31,			Change	
	2023	2022	2021	2023 vs. 2022	
	(in thousands, except revenue per membership and percentages)				
Revenues	\$ 14,873,783	\$ 14,084,643	\$ 12,972,100	\$ 789,140	6 %
Paid net membership additions (losses)	5,832	(919)	1,279	6,751	735 %
Paid memberships at end of period (1)	80,128	74,296	75,215	5,832	8 %
Average paying memberships	76,126	74,001	74,234	2,125	3 %
Average monthly revenue per paying membership	\$ 16.28	\$ 15.86	\$ 14.56	\$ 0.42	3 %
Constant currency change (2)					3 %

Europe, Middle East, and Africa (EMEA)

	As of/Year Ended December 31,			Change	
	2023	2022	2021	2023 vs. 2022	
	(in thousands, except revenue per membership and percentages)				
Revenues	\$ 10,556,487	\$ 9,745,015	\$ 9,699,819	\$ 811,472	8 %
Paid net membership additions	12,084	2,693	7,338	9,391	349 %
Paid memberships at end of period (1)	88,813	76,729	74,036	12,084	16 %
Average paying memberships	80,928	73,904	69,518	7,024	10 %
Average monthly revenue per paying membership	\$ 10.87	\$ 10.99	\$ 11.63	\$ (0.12)	(1)%
Constant currency change (2)					(1)%

Latin America (LATAM)

	As of/Year Ended December 31,			Change	
	2023	2022	2021	2023 vs. 2022	
	(in thousands, except revenue per membership and percentages)				
Revenues	\$ 4,446,461	\$ 4,069,973	\$ 3,576,976	\$ 376,488	9 %
Paid net membership additions	4,298	1,738	2,424	2,560	147 %
Paid memberships at end of period (1)	45,997	41,699	39,961	4,298	10 %
Average paying memberships	42,802	40,000	38,573	2,802	7 %
Average monthly revenue per paying membership	\$ 8.66	\$ 8.48	\$ 7.73	\$ 0.18	2 %
Constant currency change (2)					10 %

Asia-Pacific (APAC)